Name of the Assessee	M/s DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED
PAN	AACCD9024A
Assessment Year	2022-2023
Audit U/s	**44AB(a) of Income Tax Act 1961**

SIGNIFICANT ACCOUNTING POLICIES FOR ICDS

GENERAL INFORMATION:

The Company is engaged in the business of manufacturing and selling of Aluminum, Grills, and Dampers & Diffusers and parts for Railway coaches.

1(a) Change in accounting policies

During the year ended 31st March 2022, there was no change in accounting policies. The previous year's figures have been reclassified in accordance with the requirements applicable to the current year.

1(b) Basis of preparation of financial statements & Use of Estimates

The assessee being a private limited company, incorporated under the Companies Act, 1956, the financial statements have been prepared and presented under the historical cost convention on accrual basis of accounting and in compliance with mandatory Accounting Standards ('AS') prescribed by Companies (Accounting Standards), Rules 2006 and the relevant provisions of the Companies Act, 2013, to the extent applicable.

The preparation of financial statements is in conformity with Generally Accepted Accounting Principles ('GAAP'). This requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities as of the date of financial statements, and the reported amount of revenue and expenses during the reporting period. The estimates and assumptions used in the accompanying financial statements are based upon management's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates used in preparing the accompanying financial statements. Any revision to accounting estimates is recognized prospectively in current and future periods.

And fundamental accounting assumptions namely the Going concern, Consistency and Accrual are followed in the preparation of financial statements.

Accounting policies adopted represents a true and fair view of the state of affairs and income of the business or profession. For this purpose,(i) the treatment and presentation of transactions and events are governed by their substance and not merely by the legal form; and(ii) marked to market loss or an expected loss are not recognized unless the recognition of such loss is in accordance with the provisions of any other Income Computation and Disclosure Standard.

S. RAVI & ASSOCIATES CHENNAI 600 004 CHARTERED ACCOUNTANTS

2. Inventories

The inventories include raw materials, Work in Progress, consumables and finished goods which are valued at cost, computed on FIFO method or at net realizable value, whichever is lower. Net realizable value is the estimated selling price in the ordinary course of business, less estimated cost necessary to make the sale. For carrying amount of Inventories and its classifications please refer to financial statement.

As specified in clause 1 above, the assessee being a Private Limited Company, accounts its inventories by following the principles and manner specified under (Accounting Standard) AS -2 "Valuation of inventories". Accordingly the inventories are valued without inclusion of duties. The adjustments to be made due to operation of ICDS –II would result in NIL adjustments after adopting the exclusive method recommended by the ICAI. Hence there is no impact in the profit or loss of the company in this respect. For carrying amount of Inventories and its classifications please refer to financial statement.

3. Construction Contracts:

Not Applicable for the year under review.

4. Revenue recognition

Revenue is recognized to the extent it is probable that the economic benefits will flow to the company and revenue can be reliably measured. Revenue from sale of products is recognized, in accordance with the sales contracts, on dispatch from the Shops/Factories/warehouse of the concern.

In a transaction involving sale of good, total amount not recognized as revenue during the previous year due to lack of reasonably certainty of its ultimate collection along with nature of uncertainty -**NIL**

Income: Income is recognized on accrual basis (Mercantile Basis).

5. (a) Tangible fixed assets

Fixed assets are stated on WDV Method at historical cost less accumulated depreciation. Cost includes related taxes, duties, freight, insurance etc. attributable to the acquisition and installation of the fixed assets but excludes duties and taxes that are recoverable from tax authorities. Any subsidy received towards specific assets, the same has been net off against the cost of such fixed assets. For description of assets or block of assets, details of rate of depreciation, actual cost or WDV etc. **Refer to Clause 18 of Form 3CD.**

(b) Depreciation and amortization

Depreciation on tangible assets is provided for on the Written Down value method in accordance with the provisions of section 32 of the Income Tax Act. Depreciation on Additions or deletions are dealt on tangible assets is provided for on the Written Down value method in accordance with the provisions of section 32 of the Income Tax Act. However as the assessee is a company, it follows providing for depreciation over the useful life of the assets as per schedule II of the companies act, 2013 and the same is debited to profit and loss account. The depreciation computed as per section 32 of the income tax act is separately dealt with in computation of income for income tax purpose. **Refer to Clause 18 of Form 3CD.**

S. RAVI & ASSOCIATES CHENNAI 600 004. CHARTERED ACCOUNTANTS

6. Government grants, subsidies and export incentives

During the year under review, the company has received an amount of Rs. 45,00,000 (Rupess Forty Five Lakhs only) as capital investment subsidy from District Industrial Centre (DIC), Govt of Tamil Nadu and the said amount has been reduced from the value of Fixed Assets being Plant and machineries.

7. Borrowing costs

Borrowing costs include interest and amortization of ancillary costs incurred to the extent they are regarded as an adjustment to the interest cost.

Costs in connection with the borrowing of funds to the extent not directly related to the acquisition of qualifying assets are charged to the Statement of Profit and Loss over the tenure of the loan.

Borrowing costs, allocated to and utilized for qualifying assets, pertaining to the period from commencement of activities relating to construction / development of the qualifying asset up to the date of capitalization of such asset is added to the cost of the assets.

Capitalization of borrowing costs is suspended and charged to the Statement of Profit and Loss during extended periods when active development activity on the qualifying assets is interrupted.

During the year ended 31st March, 2022, the company has not capitalized any borrowing cost

8. Provisions and contingencies

A provision is recognized when the firm has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made.

Contingent liabilities provided for is **NIL.** Expected losses provided for is **Nil.** For provisions refer to financial statements.

For Dynamic Air Engineering India Pvt. Ltd.

DYNAMIC AIR ENGG. (INDIA) PVT. LTD. CH-117

For S.Ravi & Associates
Chartered Accountants
FRN : 009261S

S. RAVI & ASSOCIATES CHENNAI 600 004. CHARTERED ACCOUNTANTS

Mr. K Karthikeyan
Director
DIN:01924065

Mrs. Girija Karthikeyan
Director
DIN:03329379

S.Ravi
Proprietor
M.No.: 204618

Place : Chennai
Date : 04-11-2022